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N° 29

COLLECTION · INVESTORS

Taxes for Real Estate Investors

Rental income, expenses, depreciation and capital gains in Quebec

2026 EDITION

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

Taxes for Real Estate Investors · Collection Investors · Guide No. 29 · 2026 Edition

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Taxation can make a big difference to the real return of an income property. Well understood, it reduces your tax legally; ignored, it holds nasty surprises.

This guide presents the main principles: the taxation of rental income, deductible expenses, depreciation, the capital gain at resale, and the question of personal ownership vs through a corporation.

Informational content, not tax advice: every situation differs, consult an accountant or tax specialist. Each chapter ends with a lined “My notes” page.

Taxation can make or break a building's return. This guide covers income and deductible expenses, depreciation and its traps, the capital gain at resale, and the choice between personal ownership and a corporation.

Informational content: since taxation is technical and changes over time, always have your situation validated by a specialized accountant.

CHAPTER

Rental income and deductible expenses

> *Understanding what's taxed and what's deducted.*

Rental income is taxable, but you deduct the expenses incurred to earn that income. The net income (rents minus deductible expenses) is added to your taxable income.

- Deductible: mortgage interest, taxes, insurance, maintenance and repairs, management, common-area energy, etc.
- Key distinction: a repair (deductible immediately) vs an improvement (a capital expense, depreciable).
- Keep all your invoices and maintain rigorous records.

Rents are taxable, but many expenses are deductible: mortgage interest, taxes, insurance, maintenance, management, utilities paid. Distinguishing a repair (deductible) from an improvement (capitalized) is essential — and a frequent source of errors.

> EMILIE'S TIP
>
> *Keep clean accounting from day one. Every invoice kept is a potential deduction; every forgotten deduction is tax overpaid.*

CHAPTER

Depreciation (CCA)

> *Understanding this powerful tool… and its traps.*

The capital cost allowance (CCA) lets you deduct part of the building's value (not the land) each year, reducing your taxable income. It's a powerful tool, but double-edged.

At resale, the depreciation taken can be “recaptured” and taxed. Depreciation therefore defers the tax more than it eliminates it: to be used with a strategy, ideally advised by a tax specialist.

The capital cost allowance (CCA) lets you deduct part of the building's value each year, reducing the tax on the rents. But beware: it can be “recaptured” and taxed at resale. Powerful, the CCA is handled with an accountant, not blindly.

> EMILIE'S TIP
>
> *Depreciation isn't “free” tax savings: it's often deferred tax. Use it knowingly, with an accountant's advice, according to your horizon.*

CHAPTER

The capital gain at resale

> *Anticipating the tax on the gain.*

When you resell a rental building at a profit, part of the gain (the capital gain) is taxable. A rental building doesn't benefit from the principal residence exemption (except for the portion you occupy, if any).

Planning (the timing of the sale, the ownership structure, carried-forward losses) can influence the tax. Here too, a tax specialist is a profitable investment.

At resale at a profit, part of the capital gain is taxable (based on the acquisition value and the rules in force). Anticipate this tax in your exit strategy: the advertised “profit” isn't the net amount, once tax and depreciation recapture are taken into account.

> EMILIE'S TIP
>
> *Plan the taxation of the resale BEFORE selling. The timing and the way you sell can significantly change the tax on your gain.*

CHAPTER

Personal ownership or through a corporation

> *Choosing the right structure for your project.*

You can hold a building in your personal name or through a corporation (incorporation). Each option has tax, legal and financing implications. Incorporation can offer advantages (protection, planning) but also increased costs and complexity.

The right choice depends on the size of your project, your horizon and your overall situation. It's a decision to make with an accountant and a notary/lawyer.

Holding in your personal name is simple; holding through a corporation offers other tax and liability possibilities, but with increased costs and complexity. The right choice depends on the size of your project and your situation — a decision to validate with an accountant and a notary.

> EMILIE'S TIP
>
> *Don't incorporate “by default” or “because you heard about it”. For a first building, personal ownership is often simpler; incorporation makes sense as the portfolio grows.*

CHAPTER

Records, receipts and a good accountant

> *Keeping accounting that protects you.*

Real estate taxation doesn't forgive improvisation. Rigorous **bookkeeping** is your best ally:

- Keep **all the receipts** and invoices (expenses, work).
- Separate the building's finances from your **personal** finances.
- Distinguish **repair** (deductible) and **improvement** (capitalized).
- Surround yourself with an **accountant** who knows real estate.

Impeccable records reduce your taxes legitimately and protect you in the event of an audit.

Real estate taxation doesn't forgive improvisation: keep all the receipts, separate the building's finances from your personal finances, and surround yourself with an accountant who knows real estate. Impeccable records reduce your taxes legitimately and protect you in the event of an audit.

> EMILIE'S TIP
>
> *A good accountant specialized in real estate often pays for themselves through the deductions they find and the errors they avoid. Don't cobble together your rental taxation: it's a false economy.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Set up rigorous record-keeping.
2. List my deductible expenses.

Within 30 days

1. Consult an accountant on depreciation and the ownership structure.
2. Plan my medium-term tax strategy.

Next

1. Review the planning before any resale.

To manage my taxes well

1. Keep separate records and keep all receipts from the first month.
2. Consult a specialized accountant (CCA, ownership structure, exit).

REFERENCES

Resources & glossary

- Net rental income: rents minus deductible expenses, taxable.
- Repair vs improvement: immediately deductible vs a capital expense.
- CCA (depreciation): a deduction on the building, with recapture at resale.
- Capital gain: taxable gain at the resale of a rental.
- Incorporation: ownership through a corporation, with advantages and costs.

- Deductible expense: a cost subtracted from taxable rental income.
- CCA: capital cost allowance, recapturable at resale.
- Capital gain: taxable profit realized on the sale.
- Repair vs improvement: immediately deductible vs capitalized.
- Ownership through a corporation: a structure offering other tax options, more complex.

GOING FURTHER

Quiz — test your knowledge

1. Rental income is:

A) Non-taxable

B) Taxable, after deducting expenses

C) Always exempt

D) Taxed at 0%

2. A repair is:

A) Depreciable only

B) Generally deductible immediately

C) Non-deductible

D) A capital gain

3. Depreciation (CCA) applies to:

A) The land

B) The building (not the land)

C) The rents

D) The down payment

4. At resale, the depreciation taken can be:

A) Forgotten

B) Recaptured and taxed

C) Doubled as a deduction

D) Refunded

5. Does a rental building benefit from the principal residence exemption?

A) Yes, fully

B) No (except the occupied portion, if any)

C) Always

D) Never, no rule

6. The capital gain is anticipated:

A) After the sale

B) Before the sale

C) Never

D) At the notary only

7. For a first building, ownership is often:

A) Always through a corporation

B) Personal, simpler

C) Forbidden

D) Anonymous

8. The best way to decide on taxation is:

A) To guess

B) To consult an accountant/tax specialist

C) To copy a friend

D) To ignore it

Answer key

1. B — Net income = rents − deductible expenses (ch. 1).

2. B — To be distinguished from an improvement (ch. 1).

3. B — The land isn't depreciated (ch. 2).

4. B — Depreciation defers the tax (ch. 2).

5. B — Rentals are taxed on the gain (ch. 3).

6. B — Planning influences the tax (ch. 3).

7. B — Incorporation comes with growth (ch. 4).

8. B — Every situation differs (all chapters).

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Thank you for reading. May this guide help you decide with confidence, with all the information in hand.